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Central Bank Digital Currency (CBDC): Motivation and Adoption Strategies in Developing Countries

Priyadarshi Dash and Arpit Barman

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Central Bank Digital Currency (CBDC): Motivation and Adoption Strategies in Developing Countries

Priyadarshi Dash and Arpit Barman*

Abstract: Central banks worldwide are assessing adoption of Central Bank Digital Currencies (CBDCs) as the new-age currency. Although merits of CBDC as a digital finance innovation are viewed with optimism, its implications for financial, monetary and cybersecurity remain contentious issues at this point of time. Financial inclusion, enhancing monetary policy transmission, fostering competition and efficiency in payment systems, and improving cross-border transactions, among others drive efforts towards CBDC adoption. Despite notable progress in launch of pilot projects, adoption of CBDC has been slow with low usage even in jurisdictions witnessing advanced stage of development. Key barriers include lack of public awareness, trust, privacy concerns, preference for existing instruments and lack of appropriate incentives to attract intermediaries. To enhance adoption, strategic public education, user-centric design, supportive regulatory framework and international cooperation for sharing best practices are key. A tailored gradual approach considering national economic interests and evolving financial ecosystems is essential for CBDCs to gain widespread adoption and usage.

Keywords: Central Bank Digital Currency, Monetary Policy, Regulation, Technology

1. Introduction

Several central banks globally are exploring the potential issuance of Central Bank Digital Currencies (CBDCs) in the future. CBDC can be considered a digital fiat currency, issued and regulated by Central Bank of a country. Although the concept of expanding access to digital forms of central bank liabilities is not entirely novel (e.g. (Tobin, 1985)), recent

* Dr. Priyadarshi Dash is Associate Professor at RIS (Email: pdash@ris.org.in), and Arpit Barman former Research Assistant at RIS (Email: barmanarpit08@gmail.com). The authors are grateful to Professor Sachin Kumar Sharma, Director General, RIS, for providing support to prepare this Discussion Paper. Views are authors' own. Usual disclaimers apply.

discussions have been driven by several factors such as (i) growing interest in technological innovations within the financial sector; (ii) emergence of new participants in payment services and financial intermediation; (iii) decline in cash usage in certain countries; and (iv) heightened focus on private digital tokens. Apart from those factors driving research on CBDC issuance and adoption by countries, central banks globally (especially in the emerging markets) have been motivated by three broad reasons: (i) financial inclusion, (ii) improving pass-through of monetary policy and (iii) conducive environment for competition, efficiency and innovation in both domestic and cross border payment system.

Figure 1: Implementation Status of CBDCs in the World



Source: Author's compilation from Atlantic council (as of May 2026)

Presently, 146 countries & currency unions, representing 98 per cent of global GDP, are exploring coming up with CBDC (Figure 1). The interest in CBDC seems to be growing over time. For instance, in May

2020 only 35 countries were exploring CBDC. Currently, 77 countries are in the advanced phase of exploration—development, pilot, or launch.[1] As per the Bank for International Settlement (BIS) Survey 2022, 58 per cent of the central banks globally are considering the likelihood or possible issuance of retail CBDC either in short term or in medium term (Kosse & Mattei, 2023). However, only three countries have fully launched a CBDC- Bahamas (Sand Dollar), Jamaica (Jam Dex) and Nigeria (e-Naira). In October 2020, Bahamas's sand dollar became the world's first active CBDC, having circulation equivalent to US$ 2.1 million with 120,000 wallets in circulation.

While CBDC merits are not disputed, most central banks are proceeding cautiously with exploration and implementation, recognising the need for careful consideration before wide-scale adoption and usage. These include uncertain impact on monetary and financial systems, regulatory challenges in adoption of technologies such as privacy and data protection challenges, cyber security, and uncertainty in legal framework such as AML/CFT requirements in issuing of CBDC. This has led to slow rate of adoption, questioning the necessity of having a sovereign digital currency across countries that have launched or conduct large scale pilot programs[2].

In Nigeria, only 1.5 per cent of e-Naira wallets were active after one year of its launch Ree (2023). Also, three years after Sand dollar was launched its circulation has only reached 0.2 per cent of the total currency by September 2023[3]. In China, E-CNY which is the largest CBDC pilot in terms of circulation (16.5 billion yuan) and wallets opened (120 million)[4], only accounted for 0.2 per cent for China's money supply[5]; far short of privately owned payments apps such as Alipay and WeChat Pay. In fact, in India, retail e-Rupee circulation in India was down by 24.1 per cent in 2026 from last year to INR 77.2 billion.

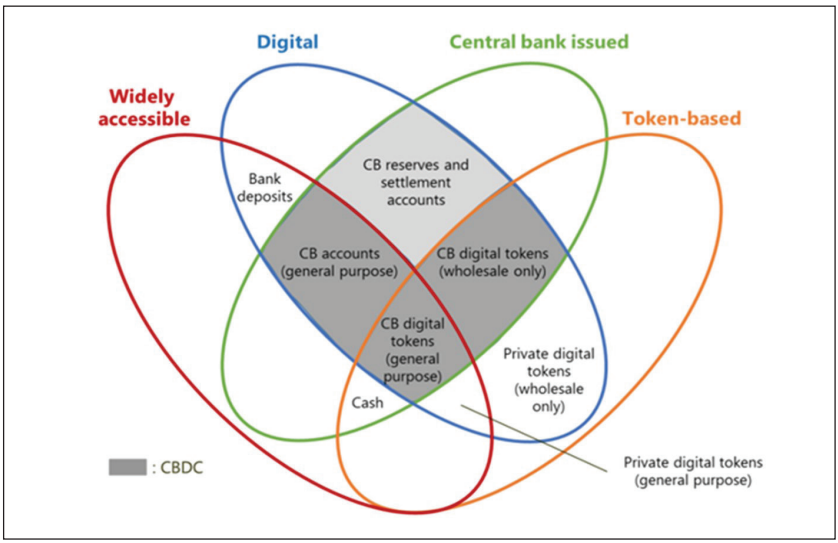
Against this backdrop, it is imperative to understand the motivation for issuing CBDC, challenges faced by the Central banks globally (with specific reference to emerging economies) for adoption, policy implications (monetary policy, technological and regulatory concerns

such as privacy, Anti Money Laundering /Countering the Financing of Terrorism (AML/CFT), among others). Lastly, the paper delves into the roadmap that central banks can use globally (especially emerging economies) for possible scaling up of CBDC usage.

2. Definition/Taxonomy on CBDC

According to the BIS "*CBDC is envisioned to be new form of Central Bank Money, i.e., a central bank liability in digital form, denominated in an existing unit of account, which serves both as a medium of exchange and a store of value*" (BIS, 2018).

Figure 2: Taxonomy of Money



Source: Bech and Garatt (2017)

In order to comprehend the functions of CBDC, it is useful to put CBDC in comparison with other forms of money. Referring to taxonomy of money presented in Figure 2 the main emphasis rests on the combinations of four key properties: issuer (central bank or other); form (digital or physical); accessibility (widely or restricted); and

technology (token- or account-based). Also, there are three models of issuance and management of CBDCs: single tier model and two-tier model – intermediate and hybrid (see Annexure, Table 1).

Most central banks are exploring two-tier model for CBDC as it allows them to leverage existing financial infrastructure, open new markets to enhance efficiency and increase CBDC usage while maintaining oversight of central banks (Koonprasert, Kanada, Tsuda, & Reshidi, 2024). Money is typically based on one of two basic technologies, tokens of stored value or accounts (Green, 2007). Cash and digital currencies are token-based whereas balances in reserve accounts and most forms of commercial bank money are account-based (Ward & Rochemont, 2019). Another important distinction between token and account-based money is the form of verification needed when exchanged. With cash, the issue of counterfeiting is pertinent, while in the digital format, the worry is whether the token or "coin" is genuine or not (electronic counterfeiting) and whether it has already been spent. By contrast, systems based on account money depends fundamentally on the ability to verify the identity of the account holder.

Generally, two types of CBDC exist depending upon its potential usage: General Purpose token (Retail CBDC or r-CBDC) and wholesale token (w-CBDC). R-CBDC is used for retail payments, relatively low-value transactions, similar in the form of cheques, credit transfer, direct debits, and card payments. W-CBDC can be potentially used for wholesale payments that are large value and high-priority transactions such as interbank transfers and cross border payments (BIS, 2023). BIS (2020) outlines three important foundational principles for central banks to consider when issuing a CBDC: (a) not interfere with public policy objectives or prevent banks from performing their monetary stability mandate (b) "***do no harm***" principle), (c) should be used alongside and complement existing forms of money (the *"**coexistence***" principle), and (d) promote innovation and competition to increase the overall efficiency and accessibility of the payment system (the ***"innovation and efficiency"*** principle).

In addition, there are other design features as that will determine how a CBDC may serve as a **means of payment** and a **store of value** (CPMI, BIS, 2018). These design choices have certain implications for payments, monetary policy and financial stability:

Availability: Presently, in most jurisdictions, digital central bank money is limited to central bank operating hours, typically less than 24 hours a day. With the introduction of Faster Payment Services (FPS), CBDCs can be available 24/7 or during certain specified times.

Anonymity: Unlike cash which provides full anonymity wallet-based payment and low-degree of anonymity, token-based CBDCs can be designed to provide different degrees of anonymity (like private digital coins). For example, bitcoin allows transactions to be (pseudo) anonymous. While all bitcoin transactions are publicly recorded using the payer's and the payee's public addresses like e-mail addresses. These addresses do not necessarily reveal the true identity of users. A key decision is to determine the degree of anonymity vis-vis the central bank, balancing, among other things, concerns relating to money laundering, financing of terrorism and privacy.

Transfer mechanisms: CBDC may be transferred either on a Peer-to-Peer (P2P) basis or through an intermediary, which could be the central bank, a commercial bank or a third-party agent. However, tokens are often transferred on P2P basis.

Interest-Bearing: As with other forms of digital central bank liabilities, it is technically feasible to pay interest (positive or negative) on both token- and account-based CBDCs. The interest rate on CBDC can be set equal to an existing policy rate or be set at a different level to either encourage or discourage demand for CBDC. Both non-interest bearing and interest-bearing accounts could be used for retail or wholesale payment transactions. Interest rate on CBDC would likely enhance the attractiveness of an instrument that also serves as a store of value. However, it may have certain implications for monetary system such as

more deposits in central banks compared to commercial banks making loans expensive leading to lower investments, affecting economic growth, percolating towards bank disintermediation and speeding up the process of bank run.

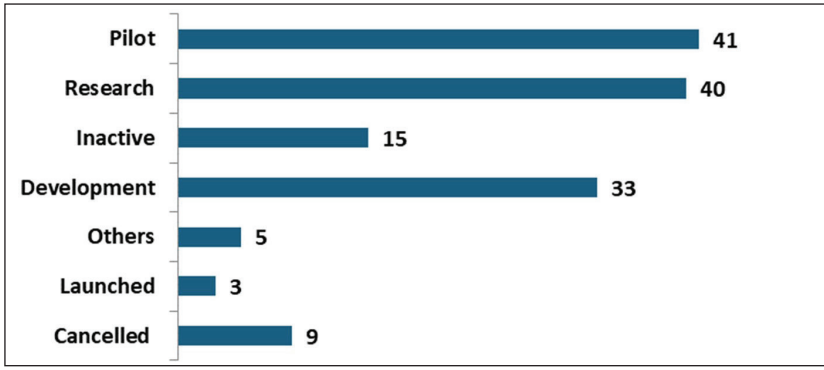
Limits or caps: Different forms of quantitative limits on the use or holdings of CBDC are a way of controlling potentially undesirable implications, or to steer usage in a certain direction. The proper functioning of the payment system should imply one-to-one convertibility of CBDC to reserves and banknotes (Fung & Halaburda, 2016). However, some have proposed allowing this unity to break under certain circumstances. For example, Agarwal & Kimball (2015) proposed abandoning one-to-one convertibility as a way of allowing a floating exchange rate between cash and commercial bank deposits and thus, eliminating the effective lower bound.

Thus, CBDC has heterogenous design and definition. According to RBI (2022), "*CBDC as a **legal tender** issued by a Central Bank in a **digital** form. It is akin to **sovereign paper currency** but take a different form**, exchangeable at par with the existing currency** and shall be accepted as a medium of payment and safe store of value, appearing as liability on Central Bank's balance sheet*". Therefore, CBDC can be considered as a sovereign digital currency issued by Central Bank in alignment of their monetary policy, act as a liability on Central Bank's balance sheet, must be accepted as a medium of payment, fungible legal tender for which holders need not have a bank account; safe store of value by all citizens, enterprises, and government agencies, freely convertible against commercial bank money and cash, expected to lower the cost of issuance of money and transaction.

3. Global Trends in CBDC Development

Out of 146 countries that are exploring CBDC, 41 countries/unions are in pilot phase, which is all time high suggesting an increase in testing of CBDC for both domestic and cross border transaction purposes (Figure 3).

Figure 3: Number of Countries and Currency Unions Exploring CBDC (As of May 2026)[6]



Source: Author's compilation from Atlantic council

BRICS member are actively promoting and developing an alternative payment system to the dollar ("de-dollarisation), exploring options to trade in local currency especially via a BRICS CBDC (Slim, 2021). Presently, three countries that have fully launched CBDC are focused on expanding reach of their r-CBDCs domestically. Also currently, 13 cross border w-CBDC projects are active including project MBridge (largest CBDC project, with transaction volume surging to USD 55.5 billion, with e-CNY accounting for ~95 per cent of total settlement).

4. Motivation for Issuance of CBDC

Apart from emergence of new private players in payment services, plethora of private digital coins and growing interest by central banks in fintech space, there are several other factors prompting countries to adopt CBDC. Four primary factors behind the interest for CBDC are ; (i) financial inclusion, (ii) monetary policy implication (iii) support competition, efficiency and innovation in payments, and (iv) efficiency in Cross-Border Payment System.

4.1 Financial Inclusion

Financial inclusion is one of the key objectives of the central banks, especially in the emerging economies for issuing CBDC; specifically

for r-CBDC. It can enhance access to financial services for unbanked and underserved population. According to the Global Findex Database 2025, 1.3 billion adults are unbanked, which is disproportionately higher in developing countries. As formal financial services such as deposits, withdrawals, overdraft credit lines, repayments, etc are becoming more digitalized; the "cash-digital" divide drives a wedge between unbanked households and formal financial institutions as it becomes costly for banks, insurance companies and other institutions to transact with them (Lannquist & Tan, 2023). About 60 per cent of emerging and low-income countries see financial inclusion as one of the top three motivations for issuing CBDC (Kosse & Mattei, 2023).

If CBDC is properly designed, it may act as 'digital cash', providing services by formal financial institutions to unbanked population. CBDC can be used for small transactions and may have less stringent identification requirements especially for low-income households which have challenges in providing formal identity documentation[7]. CBDC may operate in an offline environment for more holistic financial inclusion[8]. For Example, The Bank of Japan paper on offline use of a digital yen via CBDC explores solutions such as using Integrated Chip (IC) on a SIM card in feature phones.[9] Also token transfers through encrypted SMS, NFC, or Bluetooth can be explored.

However, widespread adoption of CBDC will be required to have some key complementary policies. Major obstacles such as financial illiteracy, basic digital illiteracy and not access to means (such as phones) can hamper the pace of CBDC adoption and issuance. Initiatives to improve digital infrastructure and connectivity especially in remote areas, and initiatives to improve digital literacy should be explored in support of CBDC (Kosse & Mattei, 2023).

4.2 Enhance Monetary Policy Pass-through and Preserving Financial Stability

CBDC is envisaged to be an efficient medium of exchange, a secure store of value and alternative unit of account depending on its design. Strong growth in digital payments (payments made without cash or

cheques) attributed to Faster Payment Service (FPS) provider, increase in contactless payment via debit and credit card and mobile payments post-pandemic can be witnessed albeit increase in demand for cash compared to pre-pandemic globally (Glowka, Kosse, & Szemere, 2023). Also, interest in Bitcoin[10] and other crypto currencies is growing, possibly competing with traditional forms of money. Those financial assets are extremely volatile making it difficult to use them as means of payments. In many cases, they are used to facilitate money laundering, fund cyber attacks and other financial crimes.

Also, bitcoin mining process is quite intensive which raises questions about sustainability. To reduce the potential effect of new private digital coins in financial systems, maintain sovereignty of the financial system and match the demand with changing preferences of consumers towards digital money, central banks globally are exploring CBDC, specifically in retail CBDC. In fact, 60 per cent of the Central Banks worldwide observed that the emergence of stablecoins[11] and other crypto assets have accelerated the pace of CBDC development (Kosse & Mattei, 2023). By offering an efficient and convenient unit of account, CBDC may reduce the risk of alternative units of account dominating (BIS, 2020).

CBDC could provide both opportunities and challenges to monetary policy transmission, depending on its design. CBDC can enhance the transmission of monetary policy by providing a new tool for central banks to influence money markets and deposit rates. Wider digital access to the central bank may strengthen the pass-through of the policy rate to money and lending markets[12].

4.3 Competition, Efficiency and Innovation in Payments

In recent decades, especially in post-pandemic years, there has been a plethora of innovations in payments and continuous demand from various users to transact money and make transfers at lower cost. The emergence of various e-money innovation by FPS providers, crypto assets and stablecoins has led to increased focus on providing solution for public by the Central Banks such as developing r-CBDC. Based on a survey by Boar & Wehrli (2021), in advanced economies central banks

are researching CBDCs to promote safety and robustness, or domestic payments efficiency. Similarly, one of the top priorities of EMDEs is payment efficiency (in domestic space) and payment safety or robustness.

The existence of multiple payment system solutions will be beneficial for competition and innovation. One way the central banks can stimulate this competition is by providing a platform that lowers the barriers to entry for non-bank Payment Service Providers (PSPs) (Patel, Kasiyanto, & Reslow, 2024). Currently, non-money-issuing PSPs rely on partnerships/ collaboration with banks or e-money providers to access the necessary instruments for offering payment services. As a public instrument, CBDC can enhance competition by serving as a "credible threat"—acting as both an alternative to existing payment options and a means of ensuring interoperability, like the cash has played historically. CBDC should be carefully designed to crowd-in private players in payment innovations and financial intermediation. In fact, central banks can set low fees on CBDC transactions to offer a competitive alternative and exert pressure in the margins of private firms (Auer, Frost, Gambacorta, Monnet, Rice, & Shin, 2021). Both FPS (Faster Payment Service) and r-CBDC can achieve similar objectives such as enhancing financial inclusion, promoting faster and more efficient domestic and cross-border payments. Additionally, both facilitate broader innovation and strengthen competition, leading to greater availability and accessibility of more affordable payment products and services, albeit the difference being CBDC are central bank money while FPS are involved with commercial bank money (Kosse & Mattei, 2023).

The idea of CBDC is to provide complementary means of payment that addresses specific use cases and market failures as well as a catalyst for continued innovation in payments, finance and commerce at large. Moreover, CBDC can be introduced with a view to allowing the public and private sectors to exploit their respective comparative advantages. Central banks can focus on ensuring trust, stability and integrity in payments and let private-sector PSPs keep doing what they should do best—interfacing with customers and compete amongst each other to

win customer preferences and expand the market for digital payments (World Bank, 2021).

In nutshell, payments using CBDCs are final and thus reduce settlement of financial risks. It would also eliminate the need to rely for settlement using clearing corporations or settlement on bilateral basis without use of central counterparty. However, to foster innovation and efficiency, a CBDC system must be open to innovation, enabling PSPs to access CBDCs via multiple channels, including back-end interfaces and APIs[13].

4.4 Efficiency in Cross-Border Payment System

As per the BIS survey, one of the primary drivers for exploring CBDC (specifically w-CBDC) by both the advanced economies and emerging and developing economies is facilitating cross-border payments. It requires resolving the issues of high fees, low efficiency (long transaction delays), lack of transparency and insufficient interoperability and standardisation with the traditional banking model. As per the Financial Stability Board (2020), there is a general perception that cross-border payments lag domestic ones namely in cost, speed, access and transparency. Different regulations and standards set by central banks for domestic large value payment, with challenges faced by small firms in complying with the cost of these regulations pushes them out of the market, thereby loss in competition (RBI, 2022).

There are significant challenges that affect cross-border payments,including reduction in number of correspondent bank networks post-global financial crisis which is seen as a business risk. Banks globally faced with higher regulatory expectation such as stringent AML/CFT, tax transparency requirements, economic and trade sanctions, etc., has led scale down or stop providing correspondent services concentrating business with large global banks (World Bank, 2021). Due to involvement of multiple entities like correspondent banks, cross-border transactions are often delayed and associated with high cost. As observed by the World Bank (2024), the global average cost of remittances has increased by 50 bps to 6.7 per cent in Q2 2024 compared to last year. Sub-Saharan

Africa remains the most expensive region to send money to, recorded at 8.4 per cent of total average cost in Q2CY24. In fact, in 2020, USD 120 billion was spent on to facilitate cross- border transaction (excluding FX premium).[14] In comparison, having a tokenised system of transaction (similar technology used in crypto) for these transactions can reduce the cost to less than 1.0 per cent.

CBDCs can boost innovation in cross-border payments, making these transactions instantaneous (which usually take 2-3 days to clear a cross-border transaction on an average)[15] in the form of reducing settlement time and helping overcome key challenges relating to time zone, foreign exchange rate differences as well as legal and regulatory requirements across jurisdictions. Interoperability among the central banks and attached PSPs becomes crucial. Additionally, the interoperability of CBDCs presents means to mitigate cross-border and cross-currency risks and frictions while reinforcing the role of central bank money as an anchor for the payment system.

5. Challenges Associated with CBDC

5.1 Macroeconomic Challenges

Rapid progress and development of CBDC requires assessing its impact on domestic economy particularly on key macroeconomics factors such as monetary policy transmission and financial stability. One of the core principles identified by BIS (2020) is that central banks should not compromise monetary or financial stability by issuing CBDC. The degree of impact by issuing CBDC in the financial and monetary policy space depends upon design and features of CBDCs. It could directly affect the banking sector by expanding direct access to central bank liabilities, creating public alternative to bank deposits and by changing the business models of banks (Infante, Kim, Orlik, Silva, & Tetlow, 2022).

Most central banks are having precautionary approach when developing CBDC and have design features such as transaction limits, and low-to-no interest bearing CBDCs (Das, et al., 2023). Such features

may limit the potential on deposits and commercial bank profitability. When policy rates are low and in times of financial market stress, the impact of CBDC on monetary transmission could be more significant such as entrenching the zero lower bound for policy rates and greater flight to CBDC from retail deposits. In such a scenario, it can speed up the bank run, leading to further bank disintermediation and squeezing of large banks' profit to maintain the same level of retail deposits.

In cases of stable macroeconomic environment, CBDC is expected to be low cost, ease of issuance (Das, et al., 2023), privacy features (more privacy than cash) (Bindseil & Senner, 2024) and bringing unbanked population into formal financial system, there may be some shift in holding towards CBDC from retail deposits, raising competition among banks for deposits and reducing bank profits. On the positive side, CBDC can counteract usage of economies which have widspread usage of dollars/euros/cryptoassets by encouraging greater use of local currency (Kunaratskul, Reslow, & Singh, 2024). Also, introduction of stablecoins and foreign CBDCs has certain risk as domestic users might become part of users money basket, may lead to reduction in domestic soverign currency usage, potentially leading to "digital dollarisation". Thus, issuance of domestic CBDC may prevent such subsitution of domestic currency to foreign currency in order to protect monetary soverignty (Auer, Frost, Gambacorta, Monnet, Rice, & Shin, 2021).

Regarding CBDC impact on various key monetary variables, RBI (2022) assess six variables that may have impact depending upon whether CBDC is remunerated or non-remunerated (see Table 3). It observes that remunerated or interest bearing CBDC would require a comprehensive review of operating framework of monetary policy, challenges in rate of interest attached with CBDC and assessing the potential challenges of financial intermediation.

Table 3: Impact of CBDC on Monetary Variables

Impact on	Non-Remunerated CBDCs	Remunerated CBDCs
Reserve Money	Yes/No	Yes
Money Supply	No	Yes
Velocity	No	Yes
Money Multiplier	Yes/No	Yes
Liquidity Conditions/LAF	Yes/No	Yes
Monetary Policy (Repo Rate)	No	Yes

Source: Authors compilation from RBI (2022).

Another impact assessed by RBI (2022) is on the balance sheets of RBI and commercial banks. A switch from cash to CBDC will have no impact on the size of banking sector's balance sheet as households swaps cash for another asset (CBDC) and central bank swaps cash for another liability (CBDC). In case of shift from deposits into CBDC has similar impact on bank balance sheet as withdrawal of cash from ATM or bank branch, reducing both assets and liabilities of the bank and shrinking bank's balance sheet. Such transfer changes composition of the central bank liabilities as reserve liabilities decreases and CBDC liabilities increases but there is no immediate change in the size of the central bank's balance sheet. A flow from deposits to CBDC may result in commercial banks holding fewer reserves. If they end up holding fewer reserves than they need to meet their own or supervisory liquidity risk measures, they may wish to acquire more reserves from the central bank. If the central bank chooses to meet this demand by issuing new reserves, then the central bank's balance sheet will expand by the amount of newly issued reserves.

Lastly, adoption of CBDC may have impact on key macroeconomic variables of an economy such as GDP, inflation rate, foreign exchange rate and overall welfare. The magnitude and direction of these effects are contingent on the specific design of the CBDC, its level of adoption, and the prevailing economic conditions within the country. For example,

Barrdear and Kumhof (2022) suggest a permanent increase of GDP by 3 per cent when CBDC accounts for 30 per cent of GDP due to associated lower real interest rate, monetary transaction cost and distortionary taxes (lower cost of government financing). In fact, Kim, Orlik, Silva and Tetlow (2022) suggest that CBDC has potential to improve welfare by reducing financial frictions in deposit markets, by boosting financial inclusion, and by improving the transmission of monetary policy.

Kumhof, Pinchetti, Phurichai, & Sokol (2023) found that launching of CBDC in the United States will decrease the liquidity premium and boost consumption, output and inflation. Likewise, Kunaratskul, Reslow, & Singh (2024) suggests that in an exchange rate-targeting regime, CBDC availability to non-residents could exert upward pressure on the domestic currency, induce more volatility of the exchange rate, and potentially lead to a more open capital account. CBDC could improve the liquidity or use-value of a domestic currency, making it more attractive to hold relative to foreign currencies, leading to marginal currency appreciation. Similarly, He et al. (2023) observe that CBDC could lead to greater exchange rate volatility if cross-border cross-currency transaction costs decreased substantially.

In sum, the effects of CBDC adoption on various macroeconomic factors such GDP, welfare, inflation, foreign exchange rates, etc., are multifaceted and depend on the specific design and policy implementation of the CBDC, as well as the economic environment in which it is introduced.

5.2 Technological Considerations

As discussed in previous sections, the present payment system of the central banks for cross-border payment is at the end of their technological life cycles, with obsolete, inefficient architectures resulting in high cost of transaction. Bringing new technologies into CBDC development such as Distributed Ledger Technology (DLT)[16] (specifically blockchain[17]), requires assessing whether there technologies have strong cybersecurity, technical stability and resilience, sound technical governance, interoperability capabilities with traditional Payment Service Providers

(PSPs) and FPS, etc. Thus, a systematic approach is required to assess various technologies involved in CDBC development.

Regarding CBDC architectural design, indirect CBDC model is preferred over direct CBDC for retail CBDC as there are difficulties in carrying day-to-day operations by the central bank alone such as dealing with connectivity outages or offline payments, and might marginalize private sector, hindering innovation, etc (Auer & Böhme, 2021). Both "Hybrid" and "Intermediated" CBDC architectures would have better financial resilience than fully backed payment accounts. Another fundamental question is the chocie of technology platform i.e., whether to opt for DLT or a Centralised System. Factors such as use cases, stakeholders readiness, regulatory context, risk assessment and other technology-specific requirements such as resilience, scalability or programmability need to be carefully considered while opting for "right" technology and associated technology partners.

Typically, central banks have robust security measures and internal competencies to tackle issues of operation. However, highly centralized models may place heavier administrative burdens on them. If a permissioned private DLT-based platform is chosen, the central bank must determine access to the ledger and the respective roles of the parties involved (Tourpe, Lannquist, & Soderberg, 2023). Some central banks are also investigating a hybrid approach, whereby some parts of the system leverage traditional technologies, while the distribution is performed with a DLT system. Certain limitations have been highlighted for blockchain technology in digital coins such as slow transaction, consensus time delay, scalability, excessive decentralisation, lack of interoperability, security and vulnerability concerns (Ward & Rochemont, 2019). As such, there is no specific choice as technology for CBDC is concerned.

One important factor that central bank needs to consider is that the entire lifecycle of a CBDC must be within an end-to-end trusted environment which includes prevention of double spending and malicious token creation ensuring data (KYC) is shared to relevant stakeholders; Safeguarding personal data via establishing a strong cybersecurity

mechanism to ensure resilient payment systems (Bharath, Paduraru, & Gaidosch, 2024).

Some policies related to technology such as offline functionality, programmability, integration with existing payment systems and interoperability- domestic and cross-border may be considered to expand CBDC adoption. Selection of technology platforms and design should be dynamic in nature. Discussion and adoption of technology should be flexible with constant review of its associated factors such as data security and privacy, cybersecurity and legal aspects (AML/CFT).

6. Why is CBDC Adoption Low Globally?

Despite many countries pushing for CBDC development and deployment, there has been slow and limited adoption in jurisdictions where they are launched or under pilot phase. It is important to note that slow adoption of CBDC should not be deemed as "failed project". Multiple barriers to adoption may stand in the way such as lack of public awareness and trust, privacy concerns, preference for existing instruments, lack of appropriate incentives for attracting intermediaries, and so forth. In fact, CBDC may have inherent barriers of adoption such as shift towards non-traditional accounts or e-accounts, potential threat to existing traditional financial institutions particularly in deposits and loans in contrast to Fast Payment System (FPS) which augment on existing payment infrastructure (Koonprasert, Kanada, Tsuda, & Reshidi, 2024).[18]

Lack of Public Awareness and Trust

Lack of Public Awareness and Trust is one of the significant barriers of adoption. Koonprasert, Kanada, Tsuda and Reshidi (2024) find that users place greater trust in public authorities and traditional financial institutions for safeguarding personal data compared to new players such as big tech firms (Auer, Frost, Gambacorta, Monnet, Rice, & Shin, 2021). This necessary safeguarding duty by the Central Bank impacts pace of adoption as it requires choosing right intermediaries for data privacy, protection and management.

Preference for Existing Instruments

Preference for existing instruments is another key factor. As per a study by Auer, Frost, Gambacorta, Monnet, Rice and Shin (2021), retail payment behaviours show high inertia and introduction of more convenient payment methods may lead to moderate reduction in cash share of payments. Also, users show unwilling new to shift from existing FPS such as PhonePe and Google Pay in India; Alipay and WeChat in China[19]. Lastly, even where digital payment options exist, people may prefer cash transactions due to convenience, trustworthiness and cultural familiarity.

Lack of Appropriate Incentives

Lack of Appropriate incentives for both end users and intermediaries can hinder adoption as well. Intermediaries might be hesitant to distribute or integrate CBDCs into their services and users might not see value in adopting them for everyday transactions.

Slow Engagement from Banks and Credit Unions, Lack of Integration with Existing Traditional Banking System and Merchant Point-of-Sale (POS)

Banks may be reluctant to participate to protect their existing deposit and loan business models, potentially seeing CBDCs as threat to disintermediation. The Central Bank of Bahamas has identified lack of merchant participations in Sand Dollar network and lack of integration with the traditional banking system for merchant accounts as the reasons for slow engagement of banks and credit unions with the Sand Dollar Project.[20] Likewise, low adoption in Nigeria's e-Naira can be partially attributed to phased approach by the Central Bank; initially granting access to account holders and restricting usage for domestic purposes.[21] Further, lack of integration of the Eastern Caribbean Currency Union's (ECCU) DCash with merchant POS devices and ECCU's legacy financial systems contributed to its lower adoption among merchants. Additionally, ECCB acknowledged its initial lack of oversight in developing the merchant network adequately, as its initial efforts were concentrated on DCash system development rather than on its practical implementation and usage.[22]

Lack of Digital and Financial Literacy of Digital Coins Usage

Sand Dollar Project users were not adequately informed about benefits and usage of sand dollar and shortcoming in customer education. Similarly, in Jamaica's JAM-DEX low adoption were attributed to insufficient public education and challenges in on-boarding of merchants.[23]

Design Features

Design features of CBDC influence the attractiveness and usefulness of potential users. For example, as per He et al. (2023) if Capital Flow Management (CFM)[24] introduced limit and constraints, it could reduce the overall attractiveness of using CBDC. Similarly, while features like holding limits and transaction caps intended to mitigate risks like bank disintermediation, can reduce attractiveness and wide acceptability of CBDC (Reslow, Soderberg, & Tsuda, 2024).

7. Status of e-Rupee and Challenges to Steadfast Adoption

On March 2022, Finance Act of 2022 amended the RBI Act of 1934 to facilitate the inclusion of CBDC as legal tender. By late 2022, e-rupee pilot project was launched and since then, e-rupee has become interoperable with cash as well as UPI. E-rupee functionality and design features are on the similar lines of major players such as China[25]. Apart from interoperability, e-rupee offers offline functionality to make payments without mobile connection (via NFC), ensuring greater accessibility, financial inclusion and easier financial management of an individual. Features like programmability of CBDC have allowed RBI to explore potential use cases on transferring benefits on various direct benefit transfer schemes, mitigating leakages across these subsidy' schemes.[26].

In case of wholesale-CBDC, three use cases i.e. (i) G-Sec transaction; (ii) settlement of interbank lending and borrowing in call money market; and (iii) settlement of certificates of deposits are ongoing. However, RBI's balance sheet recorded near-zero w-CBDC transaction for past three financial years in 2026 due to reluctance of traders and existing

highly popular domestic payment systems such as RTGS. While RTGS is efficient for domestic usage, it lacks cross-border transaction facility due to lack of shared cross border digital ledger. In 2026, RBI joined multilateral BIS-Innovation Hub-led initiatives, viz, Project Rialto[27] and Phase 2 of Project Mandala[28], which are focused on enhancing cross-border payments via CBDCs.

However, India has maintained a conservative approach on cross-border digital currency participation compared to its peers. Usual challenges around privacy, monetary sovereignty, financial stability and simplicity, which have been explained in the previous sections, limits expandability. Coupled with current non-interest bearing nature of w-CBDC and limited usage, banks find it commercially unviable to split funds into separate digital token infrastructure. Also, India continues to face a significant financial literacy gap, with only 27 per cent of Indian adults being financially literate, far below 52 per cent in advanced economies[29], making CBDC usage prone to fraud risks.

8. Conclusion

As discussed above, there are various CBDC designing and adoption processes that need to be assured before its implementation. Multilateral institutions like IMF, BIS and several central banks have provided various definitions of CBDC. The features and constituents differ by designs accordingly. For consistent development of CBDC across borders and ensuring smooth interoperability for future CBDC usage, a tailored CBDC project management approach across jurisdictions can bring greater clarity. One may follow IMF's 5P methodology of assessing CBDC projects: (i) Preparation phase (Research trends, monitor evolution of technology, and implications), (ii) Proof-of-concepts (Lab test assumptions and key features of a CBDC), (iii) Prototypes (Start to build CBDC and overall ecosystem), (iv) Pilots (Live test CBDC with actual use cases, data, and stakeholders) and (v) Production (Launch and operate CBDC and ecosystem) (Tourpe, Lannquist, & Soderberg, 2023).

In general, CBDC development needs to be customized in accordance with country's central bank objectives. It should have minimum disruption in existing financial system and maintain monetary sovereignty. Financial inclusion, enhancing monetary policy pass through, preserving financial stability and maintaining monetary authority by the Central Banks amidst greater space for private players (FPS providers), enhancing competition, efficiency and innovation for both domestic and cross-border payment systems are key motivations for the Central Banks to pursue development of CBDC. Central Banks globally need to address challenges such as macroeconomic, technological and regulatory challenges associated with deployment of CBDC.

Despite CBDC development being pursued by more than 140 countries, countries that are at advanced stages of development (pilot or launched phase) have very low adoption rates. Adopting a new payment instrument will inevitably be a gradual and deliberate process. Albeit low adoption, the introduction of CBDC can enhance trust in the financial system by offering a reliable, central bank-backed digital payment option, thus enhancing robustness of settlement infrastructure. Central banks globally can employ a multifaceted approach to enhance the adoption of CBDC, drawing lessons learned from initial implementation and ongoing research. IMF has provided a strategic blueprint to boost CBDC adoption called REDI framework (Regulation, Education, Design and Deployment, and Incentives) guiding central banks to overcome slow public uptake and seamlessly integrate digital currencies.[30] Lastly, learning from experiences of other jurisdictions, sharing best practices and working towards common standards and interoperability frameworks can help avoid fragmentation, and ensure a more coherent global CBDC landscape.

In summary, promoting CBDC will be a gradual process. Even if low adoption persists, the introduction of CBDC could still enhance trust in the financial system, increase stability against tail risks, and spur competition among PSPs. CBDC adoption requires a holistic approach that encompasses effective communication and education, user-centric design and seamless deployment, supportive and well-conceived

regulatory framework, strategic use of incentives, robust privacy and security measures, and active international cooperation. Central Banks across globe should take proactive measures in addressing barriers to adoption. Further, the central banks should continuously engage with various stakeholders who directly or indirectly participate in CBDC transaction process to foster widespread acceptance.

Endnotes

1 Refer Atlantic council CBDC tracker

2 Note that the adoption rate of new technology does not tend to be linear. Rather, "S" curve pattern is followed i.e., adoption is slow at first, then rapidly rises before flattening out again as it market reaches saturation.

3 Refer, https://www.livemint.com/opinion/online-views/rbi-digital-rupee-cbdc-e-rupee-digital-currency-upi-cross-border-payments-sand-dollar-consumer-adoption-11722761049060.html

4 As of June 2023

5 M0 includes physical currency in circulation and bank reserves. Also, in January 2026, PBoC reclassified e-CNY as interest bearing deposit, which could signal a shift from its original function as digital cash, creating uncertainty about China's plans for e-CNY following the shift.

6 Atlantic Council has classified CBDC Development into six groups: (i) Research (Established working groups to explore the use case, impact and feasibility of CBDC), (ii) Development (Initiated a technical build and early testing of CBDC in controlled environment, (iii) Pilot (Initiated small scale testing of CBDC in real world with a limited number of participation, (iv) Launched (Issued a CBDC for widespread retail and/or wholesale use),(v) Cancelled (CBDC initiative decommissioned) and (vi) Other (no formal CBDC research but ongoing development of digital wallets and new payment infrastructure).

7 However, some central banks are considering so-called tiered digital wallets; wallets with higher caps would require more extensive customer identification (Bindseil, Tiered CBDC and the Financial System, 2020)

8 According to World Bank, 700 million people lack access to electricity in 2023 and according to ITU, about 2.6 billion people lacks internet access in 2023.

9 Refer, Payment and Settlement Systems Report, Bank of Japan, https://www.boj.or.jp/research/brp/psr/data/psrb200702.pdf

10 In fact bitcoin had crossed USD 100,000 mark on 17 January 2025 before dropping below USD 95,000 on 3 February 2025. (source: https://in.tradingview.com/symbols/BTCUSD/)

[11] Stablecoins are cryptocurrencies who value is pegged to another currency, commodity or financial instrument.

[12] Greater financial inclusion via CBDC can further enhance monetary policy transmission and

[13] In the case of payment services, a credit institution that uses an open API will be providing a digital platform that allows third party providers access to the account data and services it provides to its clients, provided the client has given his consent, refer (World Bank, 2021) for more details.

[14] Refer OliverWyman, Unlocking $120 Billion Value In Cross-border Payment: https://www.oliverwyman.com/our-expertise/insights/2021/nov/unlocking-120-billion-value-in-cross-border-payments.html

[15] supra

[16] A Distributed Ledger Technology (DLT) is a consensus of replicated, shared, and synchronised digital data geographically spread across multiple sites, countries, or institutions. The distributed ledger database is spread across several nodes (devices) on a P2P network, where each replicates and saves an identical copy of the ledger and updates itself independently. (Ward & Rochemont, 2019).

[17] Blockchain enables multiple users to make entries into a record of information, and a community of users can control how the record of information is amended and updated. It is on Blockchain technology that digital currencies have evolved. The most prominent example of a digital currency is Bitcoin. (Nakamoto, 2008)

[18] Adoption of CBDC can be considered as classic problem of "chicken and egg" where value of CBDC for consumer relies on the number of merchants accepting it, and conversely, the value for merchants depends on consumer usage.

[19] Refer, https://www.livemint.com/opinion/online-views/rbi-digital-rupee-cbdc-e-rupee-digital-currency-upi-cross-border-payments-sand-dollar-consumer-adoption-11722761049060.html

[20] For more details: The Bahamas' Experience with the Sand Dollar: Remarks by Governor John Rolle.

[21] For more details: Nigeria's eNaira, One Year After

[22] For more details: ECCB Governor views expansion of merchant network to boost DCash use in A&B, subregion

[23] For more details: Hiccups hamper digital currency roll-out

[24] According to IMF 2020, Taxonomy of Capital Flow Management measures, refers CFM as " the practice of a government or central bank actively regulating the movement of financial capital, like investments and loans, flowing in and out of a country, often using measures like taxes, restrictions on foreign exchange transactions, or limitations on specific types of investments, to manage potential economic risks associated with large capital inflows or outflows".

[25] China had the first-mover advantage in CBDC project (e-CNY) whose work began in early 2010s. Since then, various strategies and design features have made it the largest CBDC pilot project. These are interoperability with existing FPS, offline functionality, aggressive state-backed promotional rollouts, greater privacy protection, moving away from SWIFT payment systems and banning of cryptocurrencies

[26] Refer, PIB press release on "Government of India launches CBDC-based Digital Food Coupon Pilot in Gujarat", 15th Feb 2026

[27] A joint initiative by the BIS and partner central banks that explores using tokenized wholesale central bank money and automated foreign exchange mechanisms to reduce costs and frictions in retail cross-border payments. Refer for more info: https://www.bis.org/publ/othp106.htm

[28] Project Mandala is an initiative led by the BIS that utilises a "compliance-by-design" approach to automate regulatory and policy checks for cross-border transactions, significantly reducing delays and compliance burdens while preserving data privacy. Refer for more info: https://www.bis.org/publ/othp87.htm

[29] Refer, World Economic Forum "How to improve outcomes for India's next generation through financial literacy", 15th Sep 2026

[30] Refer annexure for more details

[31] For more details, refer: NPCI Launches 3rd Edition of UPI Adoption and Safety Awareness Campaign, "UPI Chalega"

[32] For more details, refer: Partnership at the heart of digital $AUD trial for Reserve Bank

[33] For more details, refer: China produces CBDC guide for tourists in English

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Annexure

Table 1: Models of CBDC Issuance and Management

Model	Advantages	Disadvantages
Single Tier model/ Direct CBDC Model Central Bank (CB) is responsible for managing all aspects of the CBDC system including issuance, account keeping, transaction verification, etc.	Resilient system as the CB has complete knowledge of retail account balances which allows it to honour claims with ease.	∑ Marginalises private sector involvement and hinders innovation in the payment system, disintermediate the role of commercial bank or third-party agent. ∑ Potential to disrupt the current financial system and will put additional burden on the CB in terms of managing customer on-boarding, KYC and AML checks, which may prove difficult and costly.

Two-Tier model (Intermediate or Indirect model) Consumers would hold their CBDC in an account/ wallet with a bank, or service provider. The obligation to provide CBDC on demand would fall on the intermediaries.	Solves inefficiency associated with the single tier model demands that CBDCs are designed as part of a two-tier system, where the CB and other service providers, each play their respective role.	Limited role of CB (will only track the wholesale CBDC balances of the intermediaries). The central bank must ensure that the wholesale CBDC balances is identical with all the retail balances available with the retail customers.
Two-tier model (hybrid model) Direct claim on the central bank is combined with a private sector messaging layer.	Unlike indirect, CB has copy of the transaction i.e. commercial intermediaries (payment service providers) provide retail services to end users, but the central bank retains a ledger of retail transactions as well.	Complex system to manage for CB especially for developing countries.

Source: Author's compilation from RBI (2022).

Table 2: CBDC Development Status across Key Selected Countries

Country	Project Name	CBDC status and use case	Transaction Statistics	Motivation
India	E-rupee	Pilot for both wholesale and retail CBDC.	rCBDC INR 77.2 bn (down 24.1% yoy)	Improving Financial inclusion, reduce cost associated with cash circulation logistics, tackle cryptocurrencies circulation, improve cross border payment systems.
China	E-CNY	Pilot for both wholesale and retail CBDC	Late 2025, e-CNY had processed more than 3.4 billion transactions (~USD 2.3 trillion), representing an increase of more than 800% from 2023.	Improving efficiency of CB payment system in cross border, greater financial inclusion, back-up for commercial retail payment system, alternative to SWIFT
USA	Hamilton	Banned – In January 2025, Trump administration signed an executive order to halt any ongoing work on CBDC	NA	Initially pursued for Faster, Safer and cheaper payments. Develop tokenise cross border payments by developing a unified, programmable infrastructure

Nigeria	e-Naira	Launched Retail CBDC	E-Naira in circulations ∑ March 2024: 14 billion ∑ March 2023: 5 billion	Improving financial inclusion, improve the accountability of the informal sector and facilitate remittances.
Bahamas	Sand Dollar	Launched retail CBDC	Sand dollar Circulation (value) B$ 2.8 billion (up 5.3% yoy)	Financial inclusion, strengthening security against money laundering or illicit economic activity.
Jamaica	JAM-DEX	Launched retail CBDC	CBDC in circulation (value) JMD$ 258.4 million (up 0.5% yoy) as on Feb 2025	Reduce storage and handling costs of cash usage.
Japan	Digital yen	Pilot for retail CBDC.	NA	Emphasis on offline payment functionality due to heavy use of cash in retail payments.
United Kingdom	Digital Pound	Development stage of retail CBDC	NA	Maintaining public access to retail central bank money, and promoting innovation, choice and efficiency in domestic payments.

Eurozone	Digital Euro	Preparation phase for both retail and wholesale CBDC	NA	Innovation in digital payment system particular retail payment.
Australia	eAUD	Pilot phase for both retail and wholesale CBDC	NA	Enabling Smarter payments, supporting innovation in financial and other asset markets, promoting private digital money innovation, and enhance resilience and inclusion in the digital economy.
Russia	Digital Ruble	pilot		Digital payment innovation, reduce dependency on dollar

Source: Various central bank reports (as of May 2026).

Table 3: Top Relative Advantages of Centralised Database vs. DLT

Advantages of Centralized Databases	Advantages of DLT
∑ Competencies more readily available for technology, security, and vendor relationship ∑ Better control of privacy ∑ Easier to scale ∑ Easier to upgrade ∑ Large available product base built on top	∑ More resilient by design if no single point of failure is introduced. ∑ Offers new governance options ∑ Central bank does not have to hold any private data ∑ Could increase compatibility with DLT-based tokenized financial assets ∑ Innovative domain, with new solutions emerging from decentralized finance

Source: Authors' compilation from Tourpe, Lannquist, & Soderberg (2023)

REDI Framework

(Koonprasert, Kanada, Tsuda, & Reshidi, 2024) laid out REDI framework tackling the "chicken and egg" problem of CBDCs (where consumer usage relies on merchant acceptance and vice versa) by outlining targeted strategy:

Strategic Communication and *Education* to Build Public Awareness and Trust

Central Banks should take the lead in providing clear and accessible information about the benefits of CBDC, its distinct features compared to other forms of money (including crypto currencies), protection of privacy, among others. It can be done by collaborating with industry partners to provide consultation for public usage and for intermediaries involved in CBDC deployment. Local marketing and PR firms using both traditional and social media platforms can spread these educational initiatives and help launch a dedicated portal such as "CBDC FAQs" or having hotlines for raising queries or issues. For example, NPCI in 2020 launched "UPI

chaleyga" campaign to educate Indian smart phone users on the correct use of UPI for daily transactions and to encourage a shift towards UPI for routine expenses such as in shops, petrol stations, restaurants, and online payments.[31]

Optimising CBDC *Design and Deployment*

Optimising CBDC design and deployment is equally critical for encouraging adoption. Central Banks should prioritize user-friendly features and intuitive UI/UX design. The design should be simplistic, multilingual, secure and ensuring compatibility across devices. Furthermore, usage can be significantly improved by incorporating features such as 24/7 availability, instant settlement, and interoperability with bank accounts and other digital wallets/ FPS. Additionally, implementing stringent security measures like robust encryption, two-factor authentication and transaction alerts can safeguard user data and prevent fraudulent activities. Providing offline capabilities, expanding to foreign users for greater utility and access, and mandating interoperability of CBDC with new payment platforms could further drive CBDC adoption. For example, eAUD offline payments were tested in Southern Cross University in Australia in 2022 via NFC-enabled smartcards preloaded with eAUD to make purchases with selected vendors.[32] Similarly, e-CNY wallets were available to short term visitors in China. The visitors could download the e-CNY app on Google Pay/ Apple Store and top up their wallet without the need for a Chinese bank account or provide any identification [33].

Establishing a Supportive *Regulatory* Framework

A regulatory framework includes designating CBDC as legal tender status to boost merchant acceptance, setting rules around various intermediaries, both non-bank and bank PSPs in an inclusive manner to avoid gainful market access by large intermediaries over small ones. Incentives may be crucial in promoting the engagement of smaller or emerging entities. These incentives can be monetary e.g. subsidies, fee waivers or non-

monetary like recognising early adopters. The governing user fees or incentive structure should ensure transparency and maximise dual goal of affordability for users and profitability of intermediaries. Lastly, ensuring minimum quality standards for CBDC systems to enhance user trust and systemic stability by guaranteeing secure and efficient transactions is the topmost priority.

Incentivizing usage of CBDC

To drive adoption policymakers must solve a classic network dilemma: incentives must appeal to consumers, merchants, and commercial banks all at once. While central banks can jumpstart this ecosystem with temporary sweeteners—like transaction fee waivers or technical grants—these measures cannot become permanent features as prolonged public subsidies risk distorting local financial markets and creating fiscal drag. Instead, public incentives should serve as a temporary bridge. The ultimate goal is a self-sustaining marketplace where private intermediaries can build profitable business models—such as offering value-added digital services and/or monetisation of end user data with user consent—on top of the CBDC infrastructure. Users can be incentives as well by providing onboarding and usage incentives accounting for fiscal drag. By keeping incentives transparent, targeted, and time-bound, central banks can ensure their digital currency matures from a promising pilot into a thriving, market-driven public utility.

About the Authors



Dr. Priyadarshi Dash is Associate Professor at Research and Information System for Developing Countries (RIS), New Delhi, India. He contributes to RIS work programmes on G20, BRICS, BIMSTEC and Indo-Middle East-Europe Economic Corridor (IMEC). His research interests include macroeconomic and development strategies, regional financial cooperation, fintech, infrastructure finance and climate finance. He has co-authored two books titled 'Asia-Africa Growth Corridor: Development and Cooperation in Indo-Pacific' and 'Universal Banking in India: Evolution, Trends and Performance' and several research papers in peer-reviewed journals and edited volumes. He is Co-Editor of Journal of Asian Economic Integration. He has served as Co-Chair for the Finance Task Force T20 (Think 20) during the G20 presidencies of India, Brazil and South Africa. Dr. Dash holds PhD degree in Economics from Indian Institute of Technology (IIT), Bombay.



Arpit Barman is an Assistant Manager in NIIF's research team, based in Delhi. Prior to joining, he worked as a researcher for around 3 years in Research and Information System for Developing Countries (RIS). During his tenure with RIS, he contributed to key research initiatives on finance, international trade and economic cooperation. Arpit completed his Bachelor of Arts (Honours) in Economics from Shaheed Bhagat Singh College, Delhi University and Master of Arts in Economics from Dr. B.R Ambedkar University Delhi.

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BEF aims to serve as a dedicated platform for fostering dialogue on promoting the concept in the Indian Ocean and other regions. The forum focuses on conducting studies on the potential, prospects and challenges of blue economy; providing regular inputs to practitioners in the government and the private sectors; and promoting advocacy for its smooth adoption in national economic policies.

FIDC, has been engaged in exploring nuances of India's development cooperation programme, keeping in view the wider perspective of South-South Cooperation in the backdrop of international development cooperation scenario. It is a tripartite initiative of the Development Partnership Administration (DPA) of the Ministry of External Affairs, Government of India, academia and civil society organisations.

Forum for Indian Science Diplomacy

FISD aims to harness the full potential and synergy between science and technology, diplomacy, foreign policy and development cooperation in order to meet India's development and security needs. It is also engaged in strengthening India's engagement with the international system and on key global issues involving science and technology.

As part of its work programme, RIS has been deeply involved in strengthening economic integration in the South Asia region. In this context, the role of the South Asia Centre for Policy Studies (SACEPS) is very important. SACEPS is a network organisation engaged in addressing regional issues of common concerns in South Asia.

Knowledge generated endogenously among the Southern partners can help in consolidation of stronger common issues at different global policy fora. The purpose of NeST is to provide a global platform for Southern Think-Tanks for collaboratively generating, systematising, consolidating and sharing knowledge on SSC approaches for international development.

RIS A Think-Tank of Developing Countries

Research and Information System for Developing Countries (RIS) is a New Delhi-based autonomous policy research institute that specialises in issues related to international economic development, trade, investment and technology. RIS is envisioned as a forum for fostering effective policy dialogue and capacity-building among developing countries on global and regional economic issues.

The focus of the work programme of RIS is to promote South-South Cooperation and collaborate with developing countries in multilateral negotiations in various forums. RIS is engaged across inter-governmental processes of several regional economic cooperation initiatives. Through its intensive network of think tanks, RIS seeks to strengthen policy coherence on international economic issues and the development partnership canvas.

For more information about RIS and its work programme, please visit its website: www.ris.org.in

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Core IV-B, Fourth Floor, India Habitat Centre
Lodhi Road, New Delhi-110 003 India., Tel. 91-11-24682177-80
Fax: 91-11-24682173-74, Email: dgoffice@ris.org.in
Website: http://www.ris.org.in

/risindia @RIS_NewDelhi YouTube /RISNewDelhi